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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Value Pillar metrics favor Financials over Utilities

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Scott Wren will return on March 6, 2019

Last Week's S&P 500 Index: +0.6%

Key takeaways

- *We have a highly favorable outlook on the S&P 500 Financials sector based on our Four-Pillar Methodology, which includes Valuation, Growth, Economic, and Quality indicators.*
- *Value Pillar metrics especially favor Financials over Utilities.*

"Buy low, sell high" relies on determining roughly when an area of the equity market is more undervalued versus overvalued. Based on a review of the Four-Pillar Sector Model, which rates equity sectors on four key characteristics—Growth, Value, Quality, and Economic indicators—the Financials sector is among our most favorable. The sector rates highly across all four characteristics and is the top-rated sector on the Valuation Pillar, suggesting to us it is currently the most undervalued relative to all other S&P 500 economic sectors.

The Financials sector is trading at a measurable discount to all other S&P 500 economic sectors and, especially, to the Utilities sector both on today's valuation metric analysis and comparatively over time to normal discount ranges. Two current examples are the: 1) Trailing price-to-earnings (P/E) ratio for Financials is 12.7x as compared to Utilities' 19.8x, which represents a 36% discount. 2) Price-to-book (P/B) ratio for the Financials sector is 1.4x as compared to the Utilities sector's 2.0x, which represents a 28.4% discount on price paid for a unit of book value (as of February 25, 2019).

Over the prior five-year period, the Financials sector has been essentially flat to the S&P 500 Index while the stock market was led higher by Information Technology and, to a lesser-extent, Consumer Discretionary stocks, which outperformed. We recommend now as the time to take a closer look at the Financials sector for a potential opportunity to "buy low," especially on the deeply discounted Valuation indicators.

Valuation is not the only reason we believe investors should potentially add to positions in Financials. Other reasons include Financials historically relatively positive correlation with rising interest rates versus other economic sectors as well as today's increasing global money supply as central banks are providing additional liquidity into the world's economy. A bank-specific indicator that also shows steady improvement is net interest margins (NIMs), which represent the difference between interest income a bank receives and costs on its liabilities. Typically, during yield curve flattening periods, banks NIMs and earnings decline, but in recent years, banks have been slowly raising the deposit rate offered its customers while their lending rate has risen rapidly, raising the NIMs and earnings. Our analysis shows that NIMs have risen over the past four years, which indicates an improvement is underway that may not yet be reflected in share prices. This is another sector-specific source of Valuation discount which may have been slow to be realized in prices as many investors are concerned rapidly rising Fed rates could cause the economy to enter a recession.

Investors often buy and hold Financials or Utilities for their yield payments; we favor using the FactSet consensus forecast total yield as an effective indicator of future price appreciation. A higher total yield generally indicates better value. Financials have a 5% forecast total yield while Utilities are paying a 0% total yield. In other words, utility companies broadly are issuing shares rather than buying them back, which effectively reduces their dividend yield payment to zero. While utility and other defensive stocks outperformed in the brief December market downdraft, we do not believe utility stocks offer value going forward compared to the measurable value discount of S&P 500 Financials companies.

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Equity securities are subject to market risk which means their value may fluctuate in response to general economic and market conditions and the perception of individual issuers. There is no guarantee that value stocks will increase in value or that their intrinsic values will eventually be recognized by the overall market. The value type of investing tends to shift in and out of favor.

Sector investing can be more volatile than investments that are broadly diversified over numerous sectors of the economy and will increase a portfolio's vulnerability to any single economic, political, or regulatory development affecting the sector. This can result in greater price volatility. Risks associated with the **Consumer Discretionary** sector include, among others, apparel price deflation due to low-cost entries, high inventory levels and pressure from e-commerce players; reduction in traditional advertising dollars, increasing household debt levels that could limit consumer appetite for discretionary purchases, declining consumer acceptance of new product introductions, and geopolitical uncertainty that could affect consumer sentiment. Investing in the **Financial** services companies will subject a investment to adverse economic or regulatory occurrences affecting the sector. The industries within the sector can be significantly affected by general market and economic conditions, competition, technological innovation, legislation and government regulations, among other things, all of which can significantly affect a portfolio's performance. Risks associated with the **Technology** sector include increased competition from domestic and international companies, unexpected changes in demand, regulatory actions, technical problems with key products, and the departure of key members of management. Technology and Internet-related stocks smaller, less-seasoned companies, tend to be more volatile than the overall market. **Utilities** are sensitive to changes in interest rates, and the securities within the sector can be volatile and may underperform in a slow economy.

Definitions

Price to Book Ratio (P/B ratio) - A ratio used to compare a stock's market value to its book value. It is calculated by dividing the current closing price of the stock by the latest quarter's book value per share.

Price to Earnings Ratio (P/E ratio): A valuation ratio of a company's current share price compared to its per-share earnings.

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